

Correct Marks : 4

Question Label : Short Answer Question

Suppose the risk-free rate is 4% and the expected market return is 9%. If the value of the beta of security A is 0.6 according to CAPM, what is the expected rate of return (in %) on security A?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

7

Question Number : 325 Question Id : 6406531045754 Question Type : SA

Correct Marks : 4

Question Label : Short Answer Question

Security A has an expected return of 18% and a standard deviation of 20%. Security B has an expected return of 16% and a standard deviation of 25%. If the rates of return of the two securities have a correlation coefficient of 0.4, what is their covariance (in %)?

Note:The answer is a single digit integer between 0-9.

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2

Financial Forensics

Section Id :	64065375584
Section Number :	14
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	30
Number of Questions to be attempted :	30
Section Marks :	32
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No

Enable Mark as Answered Mark for Review and Clear Response : No
Section Maximum Duration : 0
Section Minimum Duration : 0
Section Time In : Minutes
Maximum Instruction Time : 0
Sub-Section Number : 1
Sub-Section Id : 640653161238
Question Shuffling Allowed : No

Question Number : 326 Question Id : 6406531045755 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : FINANCIAL FORENSICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533530470. ✓ YES

6406533530471. ✗ NO

Sub-Section Number : 2
Sub-Section Id : 640653161239
Question Shuffling Allowed : Yes

Question Number : 327 Question Id : 6406531045756 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A company is facing a lawsuit from a customer. It is possible, but not probable, that the company will have to pay a settlement that management estimates to be ₹3,000,000. How would this fact be reported in the financial statements to be issued at the end of the current month?

Options :

6406533530472. ✗ ₹3,000,000 in the Current Liability section

6406533530473. ✗ None because disclosure is not required

6406533530474. ✗ ₹3,000,000 in the Long-Term Liability section

6406533530475. ✓ In a descriptive narrative in the footnote section

Question Number : 328 Question Id : 6406531045757 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

You have been offered a job that pays an annual salary of ₹48,000, ₹51,000, and ₹55,000 over the next three years, respectively. The offer also includes a starting bonus of ₹2,500 payable immediately. What is this offer worth to you today at a discount rate of 6.5 percent?

Options :

6406533530476. ✓ 147610

6406533530477. ✗ 145110

6406533530478. ✗ 167500

6406533530479. ✗ 138601

Question Number : 329 Question Id : 6406531045758 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Phil's Carvings wants to have a weighted average cost of capital of 9.5 percent. The firm has an after tax cost of debt of 6.5 percent and a cost of equity of 12.75 percent. What debt-equity ratio is needed for the firm to achieve its targeted weighted average cost of capital?

Options :

6406533530480. ✗ 0.84

6406533530481. ✗ 0.92

6406533530482. ✓ 1.08

6406533530483. ✗ 0.76

Question Number : 330 Question Id : 6406531045759 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A firm has a return on equity of 25 percent. The total asset turnover is 2.4 and the profit margin is 8 percent. The total equity is ₹ 4,100. What is the net income?

Options :

6406533530484. ✗ ₹ 2,460

6406533530485. ✗ ₹ 787

6406533530486. ✗ ₹ 427

6406533530487. ✓ ₹ 1,025

Question Number : 331 Question Id : 6406531045760 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

According to the CAPM, the expected return on a security is:

Options :

6406533530488. ✗ Negatively and non-linearly related to the security's beta.

6406533530489. ✗ Positively and linearly related to the security's variance.

6406533530490. ✖ Positively and non-linearly related to the security's beta.

6406533530491. ✔ Positively and linearly related to the security's beta.

Question Number : 332 Question Id : 6406531045761 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the relationship between the IRR and the cost of capital?

Options :

6406533530492. ✖ The IRR must be lower than the cost of capital for the investment to be profitable.

6406533530493. ✔ The IRR must be higher than the cost of capital for the investment to be profitable.

6406533530494. ✖ The IRR and cost of capital are unrelated.

6406533530495. ✖ The IRR and cost of capital have an inverse relationship.

Question Number : 333 Question Id : 6406531045762 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

PQR financials is a loan provider for businesses, and it is evaluating the following companies for providing a loan.

- a. Company A: Debt Equity Ratio: 0.8, Times Interest Earned: 8
- b. Company B: Debt Equity Ratio: 0.2, Times Interest Earned: 8
- c. Company C: Debt Equity Ratio: 0.8, Times Interest Earned: 2
- d. Company D: Debt Equity Ratio: 0.2, Times Interest Earned: 2

As a financial analyst of PQR, you have to review the above information and provide a recommendation to the CEO of the company. What would be your recommendation to the CEO, regarding the best company to give the loan to?

Options :

6406533530496. ✖ Company A

6406533530497. ✔ Company B

6406533530498. ✖ Company C

6406533530499. ✖ Company D

Question Number : 334 Question Id : 6406531045763 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

At the beginning of the month the company hired workers and employees for a total monthly remuneration of ₹ 75,000 payable at the end of each month. How would this transaction reflect in the income statement and balance sheet at the beginning of the month?

Options :

6406533530500. ✖ Expense will increase by ₹ 75,000 and liabilities will also increase by equal amount

6406533530501. ✖ Expense will increase by ₹ 75000 and cash will decrease by the equal amount

6406533530502. ✔ There will be no effect on cash flow statement and balance sheet.

6406533530503. ✖ Only expenses will increase by ₹ 75000

Question Number : 335 Question Id : 6406531045764 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

All of the following are long-term liabilities except:

Options :

6406533530504. ✖ Bonds payable

6406533530505. ✔ Current maturities of bank loan

6406533530506. ✖ Mortgage payable

6406533530507. ✖ Lease liabilities

Question Number : 336 Question Id : 6406531045765 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A company provided the following cash flow details under financing activities for the year:

- Proceeds from issuing shares: ₹8,00,000
- Repayment of a long-term loan: ₹4,50,000
- Payment of dividends: ₹1,25,000
- Issuance of new debt: ₹3,00,000
- Share buyback: ₹2,50,000

What is the net cash flow from financing activities?

Options :

6406533530508. ✔ ₹2,75,000

6406533530509. ✖ ₹3,75,000

6406533530510. ✖ ₹5,75,000

6406533530511. ✖ ₹6,75,000

Question Number : 337 Question Id : 6406531045766 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A fintech company has a ML system that identifies transaction frauds that occur in its system. The model currently has a recall of 99.9%. The fraud rate, as reported by the company in its system is 20 BPS. On a regular day there are close to above 1 million transactions that happens via the company's payment system, and for each fraudulent transaction the company losses INR 10 on an average. The annual savings (INR) brought in by the ML system is:

Options :

6406533530512. ✖ ~3.4M

6406533530513. ✔ ~7.2M

6406533530514. ✖ ~19.9K

6406533530515. ✖ Insufficient information to solve the problem.

Question Number : 338 Question Id : 6406531045767 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A time series dataset shows quarterly sales data for a company over 5 years. The company observes the following characteristics:

- The sales exhibit a linear upward trend of 5 units per quarter.
- A seasonal pattern is present, where sales increase by +20 units in Quater 2 and Quater 4, and decrease by -15 units in Quater 1 and Quater 3.
- The time series is non-stationary due to the trend.

If the sales in Q1 of the first year were 200, what will be the forecasted sales in Q4 of the 5th year, assuming no randomness?

Options :

6406533530516. ✖ 295

6406533530517. ✖ 375

6406533530518. ✔ 315

6406533530519. ✖ 395

Question Number : 339 Question Id : 6406531045768 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What does the autocorrelation function (ACF) measure in time series analysis?

Options :

6406533530520. ✖ The relationship between dependent and independent variables.

6406533530521. ✖ The degree of randomness in the data.

6406533530522. ✔ The correlation between the current value and a lagged value of the series.

6406533530523. ✖ The difference between the current value and the mean of the series.

Question Number : 340 Question Id : 6406531045775 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If a model predicts the positive class for all observations in a binary classification problem with both positive and negative cases present with class balance 1:99 (positive : negative), which of the following statements is true?

Options :

- 6406533530541. ✖ Both Recall and Precision are 100%.
- 6406533530542. ✔ Recall is 100%, but Precision is not necessarily 100%.
- 6406533530543. ✖ Precision is 100%, but Recall is not necessarily 100%.
- 6406533530544. ✖ Neither Recall nor Precision are 100%.
- 6406533530545. ✖ None of these

Question Number : 341 Question Id : 6406531045776 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the KS of the below gains table?

Rank	Min	Max	Total Volume	Positive Volume	Negative Volume	KS
1	185.30	232.12	2696	0	2696	0.00%
2	232.13	243.30	2695	2	2693	5.06%
3	243.31	251.43	2696	4	2692	9.82%
4	251.43	258.82	2695	7	2688	14.28%
5	258.82	265.53	2695	3	2692	18.28%
6	265.53	271.62	2696	3	2693	22.89%
7	271.62	277.84	2695	2	2693	27.50%
8	277.84	283.83	2695	8	2687	32.26%
9	283.83	289.75	2696	9	2687	36.11%
10	289.75	295.78	2695	9	2686	39.81%
11	295.78	302.08	2695	14	2681	43.50%
12	302.08	308.37	2696	9	2687	46.44%
13	308.37	314.99	2695	16	2679	50.14%
14	314.99	322.42	2695	20	2675	52.78%
15	322.42	330.13	2696	23	2673	54.81%
16	330.13	338.44	2695	31	2664	56.39%
17	338.44	348.66	2695	27	2668	56.75%
18	348.66	361.32	2696	55	2641	57.72%
19	361.33	381.21	2695	62	2633	54.45%
20	381.23	670.52	2696	364	2332	50.11%

Options :

- 6406533530546. ✔ 57.72%
- 6406533530547. ✖ 50.11%
- 6406533530548. ✖ 39.81%
- 6406533530549. ✖ 36.45%
- 6406533530550. ✖ Data Insufficient

Question Number : 342 Question Id : 6406531045777 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of Bads at top 10%?

Rank	Min	Max	Total Volume	Positive Volume	Negative Volume	KS
1	185.30	232.12	2696	0	2696	0.00%
2	232.13	243.30	2695	2	2693	5.06%
3	243.31	251.43	2696	4	2692	9.82%
4	251.43	258.82	2695	7	2688	14.28%
5	258.82	265.53	2695	3	2692	18.28%
6	265.53	271.62	2696	3	2693	22.89%
7	271.62	277.84	2695	2	2693	27.50%
8	277.84	283.83	2695	8	2687	32.26%
9	283.83	289.75	2696	9	2687	36.11%
10	289.75	295.78	2695	9	2686	39.81%
11	295.78	302.08	2695	14	2681	43.50%
12	302.08	308.37	2696	9	2687	46.44%
13	308.37	314.99	2695	16	2679	50.14%
14	314.99	322.42	2695	20	2675	52.78%
15	322.42	330.13	2696	23	2673	54.81%
16	330.13	338.44	2695	31	2664	56.39%
17	338.44	348.66	2695	27	2668	56.75%
18	348.66	361.32	2696	55	2641	57.72%
19	361.33	381.21	2695	62	2633	54.45%
20	381.23	670.52	2696	364	2332	50.11%

Options :

6406533530551. ✖ 100%

6406533530552. ✔ 63.77%

6406533530553. ✖ 76.05%

6406533530554. ✖ 48.33%

6406533530555. ✖ Data Insufficient

Question Number : 343 Question Id : 6406531045778 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the Capture Rate of applications having score greater than 273?

Rank	Min	Max	Total Volume	Bads Volume	Goods Volume	KS
1	126	152	1909	0	1909	0.0000
2	152	158	1909	0	1909	0.0501
3	158	162	1909	0	1909	0.1002
4	162	167	1909	1	1908	0.1502
5	167	171	1909	0	1909	0.1836
6	171	175	1909	0	1909	0.2337
7	175	180	1909	0	1909	0.2838
8	180	185	1909	0	1909	0.3339
9	185	191	1909	1	1908	0.3839
10	191	198	1909	1	1908	0.4173
11	198	207	1909	0	1909	0.4507
12	207	217	1909	1	1908	0.5008
13	217	229	1909	0	1909	0.5342
14	229	243	1909	1	1908	0.5843
15	243	257	1909	2	1907	0.6176
16	257	274	1909	3	1906	0.6343
17	274	295	1909	1	1908	0.6343
18	295	327	1909	8	1901	0.6677
19	327	383	1909	12	1897	0.5843
20	383	696	1909	29	1880	0.4340

Options :

6406533530556. ✖ 100%

6406533530557. ✖ 68.33%

6406533530558. ✖ 0

6406533530559. ✖ 48.33%

6406533530560. ✔ Data Insufficient

Question Number : 344 Question Id : 6406531045781 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The Bankruptcy Bank, one of the major lending banks, has hired you to build a credit underwriting model to help their automated lending decisions. Their definition of default is 60-89 DPD. There is historical loans data since January 1, 2021 till November 30, 2024. Which of the following is true?

Options :

6406533530563. ✖ Jan'21 – Nov'24 data should be used for model training

6406533530564. ✖ Jan'21 – Sep'24 data should be used for model training

6406533530565. ✖ Jan'21 – Mar'21 data should be ignored from model training

6406533530566. ✔ Sep'24 – Nov'24 data should be ignored from model training

6406533530567. ✖ None of these

Question Number : 345 Question Id : 6406531045782 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is used to decide target variable definition?

Options :

6406533530568. ✖ Reject Inferencing
6406533530569. ✖ Roll rate analysis
6406533530570. ✔ Both Reject Inferencing and Roll rate analysis
6406533530571. ✖ Vintage analysis
6406533530572. ✖ None of these

Question Number : 346 Question Id : 6406531045783 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is the last step in credit lifecycle?

Options :

6406533530573. ✖ Underwriting
6406533530574. ✖ Reject Inferencing
6406533530575. ✔ Collections
6406533530576. ✖ Propensity
6406533530577. ✖ Fraud check

Question Number : 347 Question Id : 6406531045784 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is the first step in credit lifecycle?

Options :

6406533530578. ✖ Underwriting
6406533530579. ✖ Reject Inferencing
6406533530580. ✖ Collections
6406533530581. ✔ Propensity
6406533530582. ✖ Fraud check

Question Number : 348 Question Id : 6406531045785 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

In a credit risk model, you have:

- Base Value (average prediction): 0.3
- Feature contributions:
 - Credit Score: +0.2
 - Income: -0.1
 - Debt-to-Income Ratio: +0.15
 - Employment History: -0.05

If the final prediction is 0.4, which of the following statements is true?

Options :

6406533530583. ✔ The model overestimates the risk compared to the base value

6406533530584. ✖ Credit Score and Income push the prediction higher

6406533530585. ✖ Income and Employment History compensate exactly for the base value increase

6406533530586. ✖ The sum of feature contributions matches the prediction difference

Question Number : 349 Question Id : 6406531045786 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following is a key property of Shapley values?

Options :

6406533530587. ✖ They always assign the highest importance to the most frequent features.

6406533530588. ✔ They are always zero for features that do not influence the model.

6406533530589. ✖ They provide an explanation based on the absolute values of features.

6406533530590. ✖ They cannot be applied to regression models.

Question Number : 350 Question Id : 6406531045787 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What does a large horizontal spread of points in a SHAP summary plot indicate?

Options :

6406533530591. ✖ Low model complexity

6406533530592. ✔ High feature variability and importance

6406533530593. ✖ Perfect feature correlation

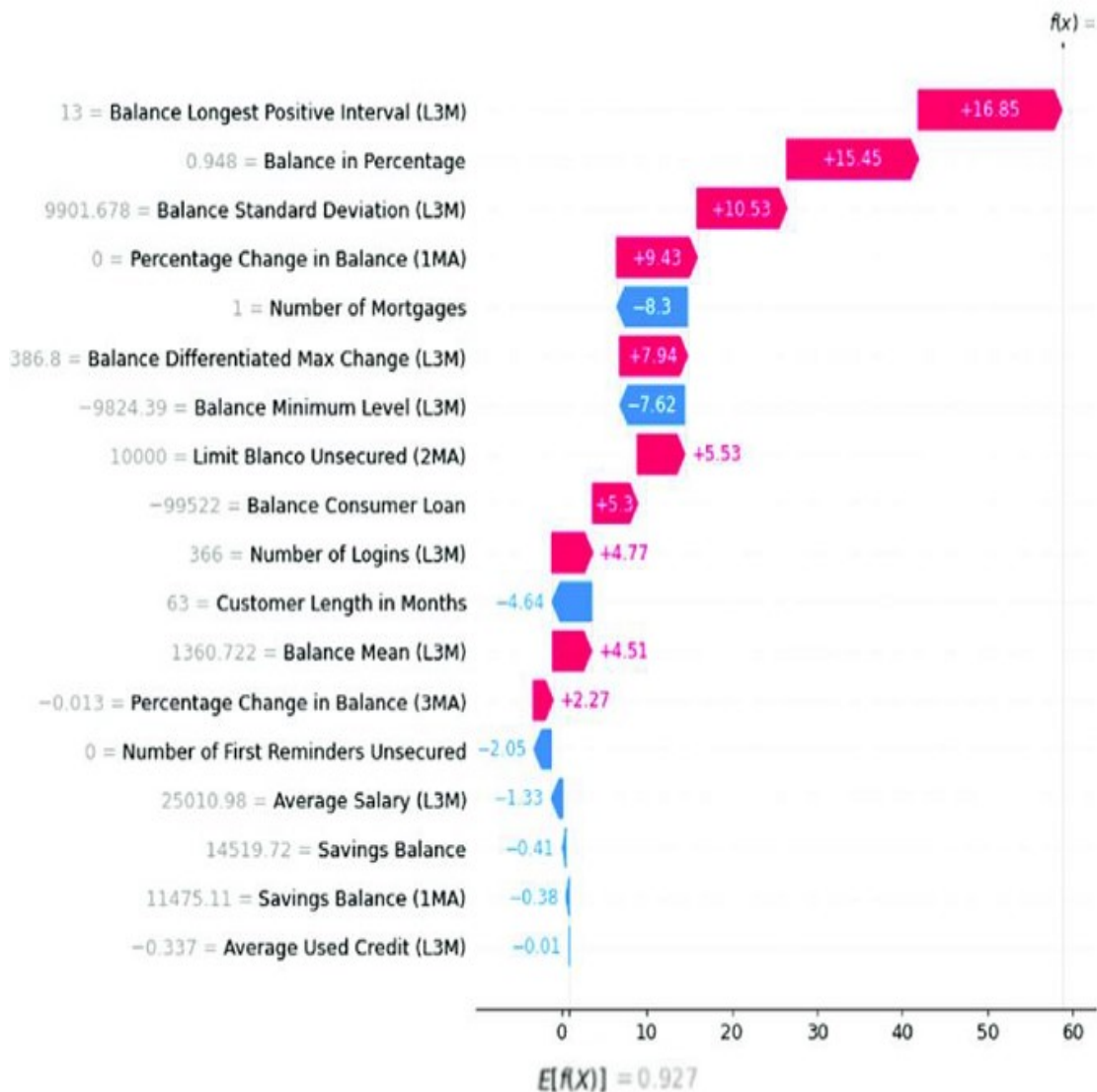
6406533530594. ✖ Uniform predictions

Question Number : 351 Question Id : 6406531045788 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

In the below summary plot find the model predicted value



Options :

- 6406533530595. ✖ -58.767
- 6406533530596. ✔ 58.767
- 6406533530597. ✖ -56.93
- 6406533530598. ✖ +56.93

Sub-Section Number :

3

Sub-Section Id :

640653161240

Question Shuffling Allowed :

No

Question Id : 6406531045770 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (352 to 355)

Question Label : Comprehension

Story: The Final Puzzle of the Cursed Map

In the heart of an ancient temple, Emma, Liam, Noah, and Sophia uncovered **four fragments** of a long-lost map, believed to lead to a hidden treasure—the *Heart of Eternity*. However, the map was cursed: only **three of the four fragments fit together** to reveal the location of the treasure. Using their AI assistant, the team converted the fragments into vectors:

- Fragment A: [2,5,7,3,6]
- Fragment B: [3,5,6,4,7]
- Fragment C: [1,3,4,6,5]
- Fragment D: [4,6,8,2,5]

The curse demanded that the team identify the **three most aligned fragments** to unlock the treasure. Using cosine similarity, they must calculate the alignment between every pair of fragments to decide which one to discard. Time is ticking, and the howls of the jungle grow louder...

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 352 Question Id : 6406531045771 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which three fragments fit best?

Options :

6406533530525. ✓ A, B, D

6406533530526. ✗ A, C, B

6406533530527. ✗ A, C, D

6406533530528. ✗ B, C, D

Question Number : 353 Question Id : 6406531045772 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which pair has the least similarity?

Options :

6406533530529. ✗ A,B

6406533530530. ✗ B,D

6406533530531. ✓ C,D

6406533530532. ✗ A,C

Question Number : 354 Question Id : 6406531045773 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The highest cosine similarity among the pairs is:

Options :

6406533530533. ✗ 0

6406533530534. ✓ 0.986

6406533530535. ✖ 0.973

6406533530536. ✖ 0.993

Question Number : 355 Question Id : 6406531045774 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

The cosine similarity between B,D is:

Options :

6406533530537. ✖ 0

6406533530538. ✔ 0.953

6406533530539. ✖ 0.935

6406533530540. ✖ 0.889

Sub-Section Number :

4

Sub-Section Id :

640653161241

Question Shuffling Allowed :

Yes

Question Number : 356 Question Id : 6406531045769 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

You have a binary classifier that classifies a transaction as "fraud" (model says it is fraud), otherwise we assume it is "not fraud". Assume that:

- 1% of all transactions is fraud
- When an transaction is fraud, the model classifies it as "fraud" 99% of the time
- When an transaction is not fraud, the model classifies it as "not fraud" 99% of the time.

What is the precision of the model? Express your answer as a percentage

Response Type : Alphanumeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Answers Case Sensitive : No

Text Areas : PlainText

Possible Answers :

50

Question Number : 357 Question Id : 6406531045779 Question Type : SA

Correct Marks : 1

Question Label : Short Answer Question

What is the Roll Back rate for 120-149 DPD after 18 MOB?(in %)